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Appropriation as Per express Instructions

Every debtor who owes several debts to a creditor has a right to instruct his creditor to which particular debt, the payment is to be appropriated or adjusted. Therefore, where the debtor expressly states that the payment is to be applied to the discharge of a particular debt, the payment must be applied accordingly.

For Example X owes Y three distinct debts of ₹20,000, ₹30,000 and ₹50,000 X sends ₹50,000 and instructs Y that the payment should be appropriated against the third debt. He is bound to appropriate the payment against the third debt only.

2. Application of payment where debt to be discharge is not indicated [60]

If section 60 is attracted, the creditor shall have the discretion to apply such payment for any lawful debt which is due to him from the person making the payment.

For Example P owes to Q, among other debts, the sum of Rs.10,000. Q writes to P and demands payment of this sum. P sends to Q Rs.10,000. This payment is to be applied to the discharge of the debt of which Q had demanded payment.

3. Application of payment where neither party appropriates [61]

The payment shall be applied in discharge of the debts in order of time whether they are or are not based by the limitation Act 1963, if the debt are of equal standing (i.e. payable on the same date) the payment shall be applied in discharge of each of these debt proportionately.

Key Terms

Promise	Instalment
Promisee	Unconditional
promisor	Tender



For Own Thinking

1. To identify the performance and distinguish the performance as actual or attempted
2. To understand the time and place of performance, so that the contract is established to be discharged or not



For Future Learning

1. Suggest ways by which the nature of performance of a contract can be categorised
2. To identify those who are involved in the process of performance of contract and their legal status



Exercise

I Choose the Correct Answer

1. On the valid performance of the contractual obligations by the parties, the contract
   a. Is discharged
   b. Become enforceable
   c. Becomes void
   d. Becomes legal

E1M2NW